

ORACLE FUSION FINANCE

Complete Study Notes

Detailed Explanation with Real-World Examples

Covers All Key Modules:

General Ledger (GL) | Accounts Payable (AP) | Accounts Receivable (AR)
Cash Management | Fixed Assets | Expense Management
Revenue Management | Budgetary Control | Tax Management
Intercompany Accounting | Period Close | Enterprise Structure

What is Oracle Fusion Finance?

Oracle Fusion Finance (also called Oracle Fusion Cloud Financials) is a complete, cloud-based financial management system. It helps companies manage ALL their money-related activities in one place — from paying suppliers to collecting money from customers, from tracking assets to closing monthly accounts.

Think of it this way: If your company is a human body, Oracle Fusion Finance is the financial nervous system — every money transaction, every payment, every invoice flows through it and gets recorded accurately.

Real-Life Analogy: Imagine running a business called 'ABC Traders'. You buy goods, sell them, pay staff, buy equipment, deal with taxes, and prepare monthly reports. Oracle Fusion Finance is the software that handles ALL of this — automatically, accurately, and in real time.

Module	What It Does in Simple Words
General Ledger	Your master account book — records every rupee
Accounts Payable	Tracks bills you need to PAY to suppliers
Accounts Receivable	Tracks money customers OWE you
Cash Management	Manages bank accounts and reconciliation
Fixed Assets	Tracks company equipment and depreciation
Expense Management	Handles employee travel expense claims
Revenue Management	Ensures income is recorded at the right time
Budgetary Control	Controls departmental spending vs budget
Tax Management	Auto-calculates GST/VAT on transactions
Intercompany	Handles transactions between group companies

Module 1: General Ledger (GL)

The Master Notebook — Foundation of Oracle Finance

What is General Ledger?

The General Ledger is the heart and foundation of Oracle Fusion Finance. EVERY financial transaction in the company — whether it is a sale, a purchase, a salary payment, a tax payment, or a bank transfer — ultimately gets recorded in the General Ledger as a journal entry.

Simple Definition: General Ledger = The big master register of your company where every single money event is written down in Debit/Credit format.

Key Concepts in General Ledger

1. Chart of Accounts (COA)

The Chart of Accounts is the list of all account codes your company uses. It is structured using Flexfields (segments) so you can slice data by company, department, cost centre, project, etc.

Chart of Accounts Structure (Segments):

Company	Department	Account	Sub-Account	Project
001 (India)	010 (Sales)	4001	4001-01	P001

Account Types:

Assets	-> Bank, Debtors, Fixed Assets, Stock
Liabilities	-> Creditors, Loans, Tax Payable
Revenue	-> Sales, Service Income, Interest Income
Expenses	-> Salaries, Rent, Depreciation, Travel
Equity	-> Share Capital, Retained Earnings

2. Ledger

A Ledger represents one accounting entity. It has four key elements:

- Currency: The primary currency (e.g., INR for India operations)
- Calendar: The financial year and period structure (e.g., April to March)
- Chart of Accounts: The account structure used
- Accounting Method: Accrual Basis (record when earned/incurred) or Cash Basis (record when cash moves)

3. Journal Entries

Every transaction is recorded as a Journal Entry using the Double Entry System — every debit must have an equal credit.

EXAMPLE — ABC Traders sells goods worth Rs. 1,00,000:

Debit:	Accounts Receivable (Asset)	Rs. 1,00,000
Credit:	Sales Revenue (Income)	Rs. 1,00,000

EXAMPLE — ABC Traders pays rent Rs. 25,000:

Debit:	Rent Expense	Rs. 25,000
Credit:	Bank Account (Asset)	Rs. 25,000

GOLDEN RULE: Total Debits MUST always equal Total Credits.

4. Subledger Accounting (SLA)

SLA is a powerful rules engine in Oracle Fusion. When a transaction happens in AP, AR, or any other module, SLA automatically converts it into a proper GL journal entry using configurable accounting rules — without any manual intervention.

Example: When AP processes a supplier invoice of Rs. 50,000, SLA auto-creates: Debit Purchase Expense Rs. 50,000 / Credit Accounts Payable Rs. 50,000 and posts it to GL.

5. Accounting Period

The financial year is divided into periods (months). You must OPEN a period to allow transactions and CLOSE it when done. Once closed, no one can post entries to that period — this protects data integrity.

Period Status	What It Means
Open	Transactions can be entered and posted freely
Closed	No new transactions allowed; period is finalized
Future Enterable	Can enter but not post future-dated transactions
Never Opened	Period has not been activated yet

6. Financial Reports from GL

- Trial Balance — Lists all accounts with debit/credit balances
- Profit & Loss Statement — Income minus Expenses = Net Profit
- Balance Sheet — Assets = Liabilities + Equity

- Cash Flow Statement — Where money came from and where it went

Full GL Transaction Flow Example

ABC Traders – March Month Activity:

Date	Transaction	Debit	Credit
01-Mar 2,00,000	Sold goods to customer	Debtors 2,00,000	Sales
05-Mar Creditors 80,000	Purchased raw material	Purchase 80,000	
10-Mar 50,000	Paid salaries	Salary 50,000	Bank
15-Mar 2,00,000	Received from customer	Bank 2,00,000	Debtors
28-Mar 80,000	Paid supplier	Creditors 80,000	Bank

End of March -> Run Trial Balance -> Prepare P&L + Balance Sheet
-> Close March Period -> Open April Period

Module 2: Accounts Payable (AP)

Managing Bills & Payments to Your Suppliers

What is Accounts Payable?

Accounts Payable manages all money that your company OWES to external suppliers and vendors. Whenever you buy something on credit — goods, services, raw materials — AP records it, tracks the payment due date, and processes the payment when due.

Simple Analogy: You went to a shop, bought items worth Rs. 5,000 and said 'I will pay next month'. The shopkeeper has noted your credit. In your books, this Rs. 5,000 is your Accounts Payable — money you OWE.

The Complete AP Process (Procure to Pay Cycle)

1. Purchase Requisition — Department requests to buy something
2. Purchase Order (PO) — Purchasing team creates an official order to the supplier
3. Goods Receipt — Goods are received and inspected
4. Supplier Invoice — Supplier sends their bill
5. Invoice Matching — Oracle matches invoice vs PO vs Goods Receipt
6. Invoice Approval — Invoice approved for payment
7. Payment Processing — Payment released to supplier
8. GL Posting — Journal entry auto-posted to General Ledger

Three-Way Matching — The Most Important AP Concept

Before Oracle allows payment, it performs a THREE-WAY MATCH — comparing three documents to ensure everything is correct:

Document	What It Contains
Purchase Order (PO)	What was ordered — quantity, price agreed
Goods Receipt Note (GRN)	What was actually received — quantity received
Supplier Invoice	What supplier is charging — quantity billed, price charged
MATCH RESULT	All 3 must match within tolerance — else HOLD is placed

THREE-WAY MATCHING EXAMPLE:

PO raised for: 100 chairs @ Rs. 500 each = Rs. 50,000

GRN received: 95 chairs (5 damaged, returned)

Supplier Invoice: 100 chairs @ Rs. 500 = Rs. 50,000

MISMATCH FOUND! Invoice says 100 but only 95 received.
Oracle places HOLD on invoice automatically.
AP team contacts supplier -> supplier sends credit note for 5 chairs
Revised Invoice: 95 chairs @ Rs. 500 = Rs. 47,500
3-way match passes -> Payment of Rs. 47,500 approved.

Invoice Holds

Oracle automatically places HOLDS on invoices when something is wrong. Payment cannot be made until holds are resolved.

Hold Type	Reason
Quantity Hold	Invoice quantity > Received quantity
Price Hold	Invoice price does not match PO price
Tax Hold	Tax amount does not match calculated tax
Manual Hold	Manually placed by AP team for investigation
Duplicate Invoice Hold	Same invoice number entered twice

Payment Methods in Oracle AP

- Cheque — Physical cheque printed and mailed
- NEFT/RTGS/EFT — Electronic bank transfer
- Wire Transfer — International payments
- Virtual Card — Online payments via card
- Cash — Small petty cash payments

Withholding Tax (TDS) in AP

When making certain payments (professional fees, rent, contractor payments), the company must deduct TDS before paying. Oracle AP automatically calculates and deducts TDS based on the supplier and payment category.

TDS EXAMPLE:

Professional fee to CA Firm: Rs. 1,00,000
TDS Rate: 10% (Section 194J)
TDS Deducted: Rs. 10,000
Net Payment to CA Firm: Rs. 90,000
Oracle AP auto-posts TDS to TDS Payable GL Account.

Key AP Reports

- AP Aging Report — Shows how long invoices have been outstanding
- Invoice Register — List of all invoices entered
- Payment Register — List of all payments made
- Supplier Ledger — Complete transaction history per supplier
- TDS Report — Tax deducted at source summary

Module 3: Accounts Receivable (AR)

Tracking Money That Customers Owe You

What is Accounts Receivable?

Accounts Receivable is the opposite of Accounts Payable. While AP tracks what you OWE, AR tracks what others OWE YOU. Whenever you sell goods or services on credit, AR records the invoice, monitors the due date, sends reminders, and records the payment when received.

Simple Analogy: You sold 50 laptops to a school for Rs. 3,00,000 on 60-day credit. The school owes you Rs. 3,00,000. This is your Accounts Receivable — money you will COLLECT.

The Complete AR Process (Order to Cash Cycle)

9. Sales Order — Customer places an order
10. Goods Delivery / Service Delivery — Goods shipped or service performed
11. Invoice Creation — Oracle AR raises an invoice to the customer
12. Invoice Sent — Invoice emailed/mailed to customer
13. Payment Due Date Monitoring — System watches due dates
14. Reminder / Dunning Letters — Auto-sent if customer does not pay
15. Receipt Recording — When customer pays, receipt is entered
16. Receipt Application — Receipt applied against open invoice
17. GL Posting — Journal auto-posted to General Ledger

Receipt Application — Most Important AR Concept

When a customer pays, you must apply the receipt (payment) to the correct open invoice. Oracle AR does this automatically using AutoCash Rules, or it can be done manually.

RECEIPT APPLICATION EXAMPLE:

Customer: Priya Enterprises

Open Invoices:

Invoice #1001 (15-Jan) -> Rs. 50,000 -> Overdue

Invoice #1002 (01-Feb) -> Rs. 80,000 -> Due soon

Invoice #1003 (15-Feb) -> Rs. 30,000 -> Not yet due

Customer sends cheque: Rs. 1,30,000

AutoCash Rule: Apply to OLDEST first

-> Apply Rs. 50,000 to Invoice #1001 -> Fully closed

-> Apply Rs. 80,000 to Invoice #1002 -> Fully closed

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-> Rs. 0 remaining (Rs. 1,30,000 used)
-> Invoice #1003 still open: Rs. 30,000
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Dunning Letters — Automated Customer Reminders

Oracle AR automatically sends reminder letters to customers with overdue invoices. Dunning works in escalating levels:

Dunning Level	When Sent / Tone
Level 1 — Gentle Reminder	7 days overdue — polite reminder
Level 2 — Second Reminder	21 days overdue — firm reminder
Level 3 — Final Notice	45 days overdue — strong warning
Level 4 — Legal Notice	60+ days overdue — legal action warning

Credit Management in AR

Oracle AR allows you to set credit limits for each customer. If a customer tries to place a new order but their outstanding balance exceeds the credit limit, the system automatically places the order on hold.

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CREDIT LIMIT EXAMPLE:
Customer: XYZ School
Credit Limit: Rs. 5,00,000
Current Outstanding: Rs. 4,50,000
New Order Value: Rs. 1,00,000
Total = Rs. 5,50,000 -> EXCEEDS LIMIT by Rs. 50,000
Oracle places order on CREDIT HOLD
Sales Manager must approve or customer must pay first.
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Debit Memo and Credit Memo

Document	Purpose and Example
Credit Memo	Reduces customer balance. Example: Customer returned 5 items — raise Credit Memo for Rs. 10,000 to reduce their invoice.
Debit Memo	Increases customer balance. Example: Extra shipping charges of Rs. 500 not included in original invoice — raise Debit Memo.

Key AR Reports

- AR Aging Report — Outstanding invoices grouped by age (0-30, 31-60, 61-90, 90+ days)
- Customer Account Statement — Full transaction history for a customer
- Cash Receipts Report — All receipts received in a period

- DSO Report — Days Sales Outstanding — average collection days
- Collection Report — Overdue accounts requiring follow-up

Module 4: Cash Management

Managing Bank Accounts and Reconciliation

What is Cash Management?

Cash Management handles everything related to your company's bank accounts — recording bank transactions, reconciling Oracle records with actual bank statements, monitoring cash positions, and forecasting future cash needs.

Simple Analogy: At the end of every month, you compare your personal register (what you wrote down) with your bank passbook (what the bank shows). If there are differences, you investigate and explain them. This is Bank Reconciliation — the core of Cash Management.

Bank Reconciliation — Step by Step

Bank Reconciliation is the process of matching your Oracle bank balance with your actual bank statement balance and explaining any differences.

BANK RECONCILIATION EXAMPLE — March 2024:

Oracle System Balance (Book Balance):	Rs. 15,50,000
Actual Bank Statement Balance:	Rs. 14,90,000
Difference:	Rs. 60,000

INVESTIGATION — Reasons for Difference:

1. Cheque #4521 issued to supplier on 25-Mar Rs. 40,000
-> Issued in Oracle but not yet cleared at bank
2. Cheque #3210 deposited from customer on 28-Mar Rs. 20,000
-> Deposited but not yet credited by bank

RECONCILIATION:

Bank Balance	Rs. 14,90,000
Add: Deposits in transit	Rs. 20,000
Less: Outstanding cheques	Rs. (40,000)
Adjusted Balance	Rs. 14,70,000

Wait — still does not match! Rs. 15,50,000 vs Rs. 14,70,000

Investigate further -> Bank charges Rs. 80,000 not yet recorded.

Add bank charges entry -> Oracle Balance becomes Rs. 14,70,000

MATCHED! Reconciliation complete.

Cash Position

Cash Position gives the Finance team a real-time dashboard showing how much cash is available in each bank account. This helps in making decisions like: Do we have enough to pay salaries? Can we pay the large supplier invoice due tomorrow?

Cash Forecasting

Oracle Cash Management uses AI/ML to predict future cash inflows (from AR) and outflows (from AP, payroll, taxes) so the company can plan ahead and avoid cash shortages.

Feature	What It Shows
Bank Account Balance	Current balance in each bank account
Projected Receipts	Expected customer payments in next 30/60/90 days
Projected Payments	AP payments, payroll, taxes due soon
Net Cash Position	Surplus or deficit expected
Recommended Actions	Transfer funds, arrange overdraft, invest surplus

Module 5: Fixed Assets (FA)

Tracking Company Equipment, Buildings & Vehicles

What is Fixed Assets?

Fixed Assets module tracks all long-term physical assets owned by the company — machinery, computers, vehicles, buildings, furniture — from the day of purchase to the day of disposal. It also automatically calculates and posts depreciation every month.

Simple Analogy: You bought a car for your business for Rs. 8,00,000 in 2020. Every year it loses value. By 2025 it might be worth only Rs. 3,00,000. Fixed Assets tracks this entire journey — purchase, annual value reduction (depreciation), and final sale/scrap.

Key Concepts in Fixed Assets

1. Asset Book

An Asset Book contains all the rules for a group of assets — currency, calendar, and depreciation method. Companies often maintain multiple books:

- Corporate Book — For financial reporting (P&L purposes)
- Tax Book — For income tax depreciation (different rates, different rules)
- IFRS Book — If reporting under International Financial Reporting Standards

2. Depreciation Methods

Method	How It Works — With Example
Straight Line (SLM)	Equal depreciation every year. Machine cost Rs. 10,00,000. Life 10 years. Depreciation = Rs. 1,00,000/year every year.
Written Down Value (WDV)	Higher depreciation in early years. Rs. 10,00,000 at 20% WDV. Year 1: Rs. 2,00,000. Year 2: Rs. 1,60,000. Year 3: Rs. 1,28,000 (reduces each year).
Units of Production	Based on usage, not time. Machine produces 1,00,000 units total. If 20,000 units produced this year = 20% of cost depreciated.
Sum of Years Digits	Accelerated method. For 5-year asset: Year 1 = 5/15, Year 2 = 4/15, Year 3 = 3/15 of cost.

3. Asset Lifecycle in Oracle FA

COMPLETE ASSET LIFECYCLE EXAMPLE — Company Vehicle:

STEP 1 — ADDITION (Purchase)

Date: 01-April-2024

Asset: Mahindra Bolero for Sales Department

Cost: Rs. 10,00,000
Useful Life: 5 years
Residual Value: Rs. 50,000
Depreciation Method: Straight Line
Annual Depreciation = $(10,00,000 - 50,000) / 5 = \text{Rs. } 1,90,000/\text{year}$
= Rs. 15,833/month

STEP 2 – MONTHLY DEPRECIATION (Auto-posted by Oracle)

April 2024: Debit Depreciation Expense Rs. 15,833
Credit Accumulated Depreciation Rs. 15,833

STEP 3 – ASSET TRANSFER (Year 2)

Vehicle transferred from Sales Dept to HR Dept
Oracle updates: Cost centre changes, depreciation continues

STEP 4 – RETIREMENT/DISPOSAL (After 5 years)

Sold vehicle for Rs. 75,000
Book Value at disposal = Rs. 50,000 (residual)
Sale Proceeds = Rs. 75,000
PROFIT on disposal = Rs. 25,000
Oracle auto-posts: Remove asset, record profit on sale

4. CIP — Construction in Progress

When a company builds an asset (constructs a building, assembles a machine), it cannot be depreciated until complete. CIP tracks all costs during construction. Once complete, it is 'capitalised' — moved to Fixed Assets and depreciation begins.

CIP EXAMPLE:

Jan 2024: Construction of factory shed begins
Jan-Mar: Labour Rs. 5,00,000 + Materials Rs. 8,00,000 = CIP Rs. 13,00,000
Apr 2024: Construction complete -> Capitalise to Fixed Assets
From May 2024: Depreciation on Rs. 13,00,000 begins

Module 6: Expense Management

Employee Travel & Business Expense Claims

What is Expense Management?

Expense Management handles the process of employees submitting claims for money they have spent from their own pocket for business purposes — travel, hotels, meals, client entertainment. Oracle verifies these claims against company policies and reimburses approved amounts.

Expense Claim Process — Step by Step

COMPLETE EXPENSE CLAIM EXAMPLE — Rahul Sharma, Sales Executive:

Business Trip: Mumbai to Delhi for Client Meeting (3 Days)

STEP 1 — EXPENSE REPORT SUBMISSION

Rahul opens Oracle Expense app on mobile:

Flight (Mumbai-Delhi-Mumbai):	Rs. 8,000
Hotel (2 nights x Rs. 4,000):	Rs. 8,000
Taxi (Airport transfers):	Rs. 1,500
Client Dinner (4 persons):	Rs. 3,200
Local travel (Metro+Auto):	Rs. 800
TOTAL CLAIM:	Rs. 21,500

Rahul uploads all receipts (photos from phone camera)

STEP 2 — ORACLE POLICY CHECK (Automatic)

Company Policy:

Hotel limit:	Rs. 3,500/night
Meal limit:	Rs. 800/person
Client dinner limit:	Rs. 750/person

VIOLATIONS FOUND:

Hotel: Rs. 4,000 > limit Rs. 3,500 -> FLAGGED (over by Rs. 500/night = Rs. 1,000 total)

Client Dinner: Rs. 800/person > limit Rs. 750/person -> FLAGGED

STEP 3 — APPROVAL WORKFLOW

Report sent to Rahul's Manager (Suresh Patel)
Suresh reviews -> Approves hotel exception (genuine business need)
Suresh approves client dinner exception -> Report moves to Finance
Finance Auditor reviews receipts -> Approves all

STEP 4 – PAYMENT

Oracle AP creates reimbursement: Rs. 21,500
Payment sent to Rahul's bank account within 5 working days

STEP 5 – GL POSTING (Automatic)

Debit: Travel Expense Rs. 17,500
Debit: Entertainment Expense Rs. 4,000
Credit: Bank / Employee Payable Rs. 21,500

Corporate Credit Card Integration

Many companies issue corporate credit cards to employees. Oracle Expense Management automatically imports credit card transactions and allows employees to reconcile them with their expense claims — no manual entry needed.

Module 7: Revenue Management

Recording Revenue at the Right Time (ASC 606 / IFRS 15)

What is Revenue Management?

Revenue Management ensures that your company records income (revenue) at the RIGHT TIME — when it is actually EARNED, not just when cash is received. This follows international accounting standards ASC 606 (US GAAP) and IFRS 15.

Key Principle: Revenue = Earned when performance obligation is satisfied. If a customer pays you today for a 12-month service, you have NOT earned all Rs. 12,00,000 today. You earn Rs. 1,00,000 each month as you deliver the service.

Revenue Recognition — Detailed Example

EXAMPLE — Annual Software License Contract:

Customer: Global Corp

Contract: Annual software license + support

Total Contract Value: Rs. 12,00,000

Payment: Full payment received upfront on 1-January

WRONG WAY (not allowed):

January: Record Rs. 12,00,000 as Revenue <- INCORRECT!

CORRECT WAY (Oracle Revenue Management):

January 1: Cash received Rs. 12,00,000

Debit: Bank Rs. 12,00,000

Credit: Deferred Revenue Rs. 12,00,000 (Liability!)

Each month as service is delivered:

Debit: Deferred Revenue Rs. 1,00,000

Credit: Service Revenue Rs. 1,00,000

By December 31: All Rs. 12,00,000 recognised as Revenue

Deferred Revenue balance = Rs. 0

Multi-Element Arrangement Example

EXAMPLE – Product + Installation + Support Bundle:

Customer pays Rs. 5,00,000 for:

1. Software Product (delivered immediately)
2. Installation Service (completed in Month 1)
3. Annual Support (12 months)

Standalone Selling Prices:

Software: Rs. 2,50,000

Installation: Rs. 50,000

Annual Support: Rs. 2,00,000

Total SSP: Rs. 5,00,000

Revenue Recognition:

Software (on delivery):	Rs. 2,50,000	<- immediately
Installation (Month 1):	Rs. 50,000	<- on completion
Support (Monthly):	Rs. 16,667	<- each month for 12 months

Module 8: Budgetary Control

Controlling Spending Against Approved Budgets

What is Budgetary Control?

Budgetary Control ensures that your company or department does not spend more than the approved budget. Oracle checks every financial transaction (purchase orders, invoices) against the available budget BEFORE allowing it to proceed.

Encumbrance Accounting — Key Concept

Encumbrance means reserving budget money for a future commitment. When a Purchase Order is raised (even before the goods arrive or invoice is paid), the budget is immediately reduced to reflect this commitment. This prevents over-spending.

BUDGETARY CONTROL EXAMPLE — IT Department FY 2024-25:

APPROVED BUDGET: Rs. 20,00,000

April: Raise PO for Laptops Rs. 5,00,000

-> Budget Encumbered (reserved): Rs. 5,00,000

-> Available Budget: Rs. 15,00,000

May: Laptops received, Invoice Rs. 5,00,000 processed

-> Encumbrance released: Rs. 5,00,000

-> Actual Spend recorded: Rs. 5,00,000

-> Available Budget: Rs. 15,00,000 (same, just moved from encumbered to actual)

June: New PO for Server Rs. 8,00,000

-> Available after this: Rs. 7,00,000

August: Department wants to buy Software Rs. 9,00,000

-> Available Budget: Rs. 7,00,000

-> REQUEST EXCEEDS BUDGET by Rs. 2,00,000

-> ORACLE STOPS THE TRANSACTION

-> Options: (1) Reject request (2) Request budget transfer
(3) Get CFO approval for exception

Funds Availability View:

Original Budget: Rs. 20,00,000

Actual Spend: Rs. 5,00,000

Encumbrances (PO): Rs. 8,00,000

Available Funds: Rs. 7,00,000

Module 9: Tax Management

Automatic GST, VAT & Withholding Tax Calculation

What is Tax Management?

Tax Management in Oracle Fusion automatically calculates and applies the correct tax on every financial transaction — AP invoices, AR invoices, expense reports — based on configurable tax rules for different countries, regions, and transaction types.

GST Example — India

INTRA-STATE SALE (Same State — CGST + SGST):

ABC Traders (Maharashtra) sells to customer in Maharashtra

Product Value: Rs. 1,00,000

GST Rate: 18%

CGST (9%): Rs. 9,000 -> Goes to Central Govt

SGST (9%): Rs. 9,000 -> Goes to State Govt

Invoice Total: Rs. 1,18,000

INTER-STATE SALE (Different State — IGST):

ABC Traders (Maharashtra) sells to customer in Delhi

Product Value: Rs. 1,00,000

GST Rate: 18%

IGST (18%): Rs. 18,000 -> Goes to Central Govt

Invoice Total: Rs. 1,18,000

EXEMPT SUPPLY:

Basic food items, healthcare services -> GST Rate 0%

No GST collected / paid

Tax Configuration in Oracle

- Tax Regime — The overarching tax framework (e.g., India GST, UK VAT)
- Tax — The specific tax within a regime (CGST, SGST, IGST, VAT)
- Tax Rate — The percentage rate applicable
- Tax Rules — Conditions determining which tax applies (based on location, product type, customer type)
- Tax Reporting — Oracle generates GST return data (GSTR-1, GSTR-3B for India)

Module 10: Intercompany Accounting

Transactions Between Companies in the Same Group

What is Intercompany Accounting?

When one company within a corporate group buys from or sells to another company in the same group, these are called Intercompany Transactions. Oracle Fusion automatically creates accounting entries in BOTH companies and ensures they balance.

INTERCOMPANY EXAMPLE:

ABC India provides IT services to ABC Dubai: Rs. 50,00,000

IN ABC INDIA'S BOOKS (Seller / Service Provider):

Debit: Intercompany Receivable (ABC Dubai) Rs. 50,00,000

Credit: Service Revenue Rs. 50,00,000

IN ABC DUBAI'S BOOKS (Buyer – auto-created by Oracle):

Debit: IT Expense / Management Fees Rs. 50,00,000

Credit: Intercompany Payable (ABC India) Rs. 50,00,000

DURING CONSOLIDATION:

ABC India's IC Receivable Rs. 50,00,000 ELIMINATES with

ABC Dubai's IC Payable Rs. 50,00,000

NET EFFECT ON GROUP ACCOUNTS = ZERO (internal transaction)

Period Close Process — Month End in Oracle Fusion

Period Close is one of the most important processes in Oracle Fusion Finance. It is the process of finalising all financial records for a month, running reports, verifying accuracy, and locking the period so no further changes can be made.

Why is Period Close Important?

- Ensures data accuracy — no late entries can distort the month's figures
- Allows financial statements to be prepared and published
- Required for regulatory compliance and audit purposes
- Triggers carry-forward of balances to the next period

Period Close Sequence — Step by Step

Step	Activity and Details
Step 1	Close Accounts Payable — Ensure all supplier invoices are entered, matched, approved. Run AP Trial Balance. Close AP sub-ledger.
Step 2	Close Accounts Receivable — Ensure all customer invoices raised, receipts applied. Run AR Aging Report. Close AR sub-ledger.
Step 3	Process Fixed Assets Depreciation — Run depreciation for all asset books. Review depreciation entries. Close FA sub-ledger.
Step 4	Close Expense Management — Ensure all expense reports submitted, approved, and paid. Close Expenses module.
Step 5	Run Foreign Currency Revaluation — Revalue all foreign currency balances using month-end exchange rates. Post gain/loss entries.
Step 6	Complete Intercompany Reconciliation — Confirm all IC balances agree between entities. Clear any differences.
Step 7	Post All Manual Journal Entries — Accruals, prepayments, adjustments, provisions. All must be reviewed and posted.
Step 8	Run GL Trial Balance — Verify all debits equal all credits. Check for unusual balances. Investigate any anomalies.
Step 9	Close GL Period — Once satisfied, close the GL period. No further entries possible without re-opening.
Step 10	Generate Financial Statements — Run official P&L, Balance Sheet, Cash Flow Statement. Share with management.

Enterprise Structure — Setting Up Oracle Fusion Finance

Before any transactions can be processed, Oracle Fusion must be configured to reflect your company's legal and operational structure. This is called the Enterprise Structure setup.

Structure Element	Definition and Example
Enterprise	The top-level organisation. Example: ABC Group
Legal Entity	A legally registered company. Example: ABC India Pvt Ltd, ABC Dubai LLC, ABC UK Ltd
Business Unit (BU)	Operational unit that processes transactions. Example: ABC India — North BU, South BU
Ledger	Accounting book for a legal entity. Example: ABC India Ledger (INR, Apr-Mar calendar, Indian COA)
Legal Entity — Ledger Link	Each legal entity is linked to one primary ledger for financial reporting
Secondary Ledger	Parallel accounting book for IFRS or US GAAP reporting alongside local GAAP
Ledger Set	Group of ledgers for combined reporting across multiple entities

Organisation Structure Example — ABC Group

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ABC GROUP (Enterprise)
|
+-- ABC India Pvt Ltd (Legal Entity)
|   |-- Primary Ledger: ABC India INR Ledger
|   |-- Business Units: ABC India North BU, ABC India South BU
|   |-- Operating Units: Mumbai, Delhi, Bangalore
|
+-- ABC Dubai LLC (Legal Entity)
|   |-- Primary Ledger: ABC Dubai AED Ledger
|   |-- Business Unit: ABC Dubai BU
|
+-- ABC UK Ltd (Legal Entity)
    |-- Primary Ledger: ABC UK GBP Ledger
    |-- Secondary Ledger: ABC UK IFRS Ledger
    |-- Business Unit: ABC UK BU
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Quick Revision Summary

Use this section as a quick reference before exams or interviews.

Module	One-Line Summary + Key Term
General Ledger	Master book of all financial transactions. KEY: Journal Entry, Chart of Accounts, Subledger Accounting
Accounts Payable	Pay supplier invoices after 3-way match. KEY: Three-Way Match, Invoice Hold, Payment Run, TDS
Accounts Receivable	Collect money from customers. KEY: AutoCash, Dunning, Credit Limit, Receipt Application
Cash Management	Reconcile Oracle balances with bank. KEY: Bank Reconciliation, Cash Position, Cash Forecast
Fixed Assets	Track assets and auto-depreciate. KEY: Depreciation, Asset Book, CIP, Asset Retirement
Expense Management	Employee travel claims with policy check. KEY: Expense Report, Policy Violation, Approval Workflow
Revenue Management	Recognise revenue when earned. KEY: Deferred Revenue, Performance Obligation, ASC 606
Budgetary Control	Stop overspending with real-time budget check. KEY: Encumbrance, Funds Available, Budget Transfer
Tax Management	Auto-calculate GST/VAT on all transactions. KEY: Tax Regime, Tax Rate, CGST, SGST, IGST
Intercompany	Auto-balance group company transactions. KEY: IC Receivable, IC Payable, Elimination
Period Close	Lock the books at month end. KEY: Sub-ledger Close, GL Close, Trial Balance

Common Interview Questions

- What is 3-way matching in AP? Why is it important?
- What is the difference between Accounts Payable and Accounts Receivable?
- What is Subledger Accounting (SLA) and how does it work?
- Explain the difference between Straight Line and WDV depreciation with example.
- What is Deferred Revenue? Give an example.
- What is Encumbrance Accounting?
- What is the Period Close sequence in Oracle Fusion?
- What is the difference between a Ledger and a Legal Entity?
- What is Bank Reconciliation and why is it done?
- How does Oracle Fusion handle GST automatically?

End of Oracle Fusion Finance Complete Study Notes

Prepared for detailed learning with real-world examples